

15/10/2024

PROCES-VERBAL DE REUNION

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Reunion du : 15/10/2024 Presents : Tom Richardson (HR Manager), elected employee representatives
Ordre du jour :

Proposed restructuring of MRO operations

The company proposes to restructure the MRO workshop from 3 shifts to 2 shifts, resulting in the redundancy of 8 positions (4 NDT technicians, 2 mechanics, 2 admin). Section 188 TULRCA consultation initiated. 30-day consultation period began 15/10/2024.

Alternative employment opportunities

5 vacancies identified across the Bristol site (3 in production, 2 in quality). All affected employees will be offered redeployment interviews. Redundancy payments: statutory plus 2 weeks per year of service.

The CAPA opened in response to the recurring non-conformity includes the following actions: supplementary supplier audit, enhanced receiving inspection, and qualification of an alternative supplier.

The Group's operating margin stands at 8.7% for the year, down 0.8 percentage points from the prior year, driven by the integration of Precis-Tec and associated restructuring costs.

The 3.1 material certificate per EN 10204 has been verified and the mechanical properties (UTS, YS, El%, hardness) conform to the requirements of AMS 4928 for Ti-6Al-4V titanium alloy.

The batch record includes the following records: production traveller, test reports (leak, fatigue, functional, NDT), material certificates, calibration certificates, non-conformity reports where applicable, and EASA Form 1.

The Supplier warrants that it holds all necessary authorizations, licenses, and permits required for the performance of its obligations. The Supplier shall promptly notify the Customer of any change that may affect its ability to perform.

Packaging and labelling of all Products shall conform to the specifications set forth in the applicable Schedule. The Supplier shall be liable for any damage attributable to inadequate packaging during transport.

Any amendment to this Agreement shall be in writing and duly executed by authorized representatives of both Parties. No oral modification or waiver shall be binding upon either Party.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

The comparability analysis was performed using the Bureau van Dijk / TP Catalyst database, selecting comparable companies based on functions performed, assets employed, and risks assumed (FAR analysis).

An examination of notification obligations to insurers has been completed. The claim notification was submitted within the contractual timeframe.

The supplier audit report identified three (3) major non-conformities relating to forging process control and raw material traceability. A corrective action plan with deadlines has been demanded.

Intercompany transactions are remunerated on an arm's length basis in accordance with the OECD Transfer Pricing Guidelines and section 482 of the US Internal Revenue Code.

The risk of an adverse costs order has been factored into the provision estimate, with additional exposure estimated at between GBP 50,000 and GBP 150,000.

Storage conditions for released parts conform to requirements: temperature 15-25 degrees C, relative humidity below 60%, protection from dust and mechanical shock. Maximum storage duration before dispatch is 90 days.

The Parties agree to hold quarterly performance review meetings to assess key performance indicators including quality metrics, on-time delivery rates, and corrective action effectiveness.

The cost plus method has been applied to contract manufacturing activities, with an 8% markup on direct and indirect production costs.

The capital expenditure budget for the current year is EUR 18.5 million, of which EUR 12.3M is allocated to production capacity and EUR 6.2M to R&D activities.

The Audit Committee has reviewed the principal accounting estimates and management judgements and concluded that the methods applied were appropriate and consistent with prior periods.

The dimensional deviation on port B bore (measured: 25.015 mm against tolerance of 25.000 +0.010/-0.000 mm) has been subject to an engineering concession request (ref. EC-2024-0089).

Statutory interest on any damages awarded shall accrue at the applicable rate under section 35A of the Senior Courts Act 1981.